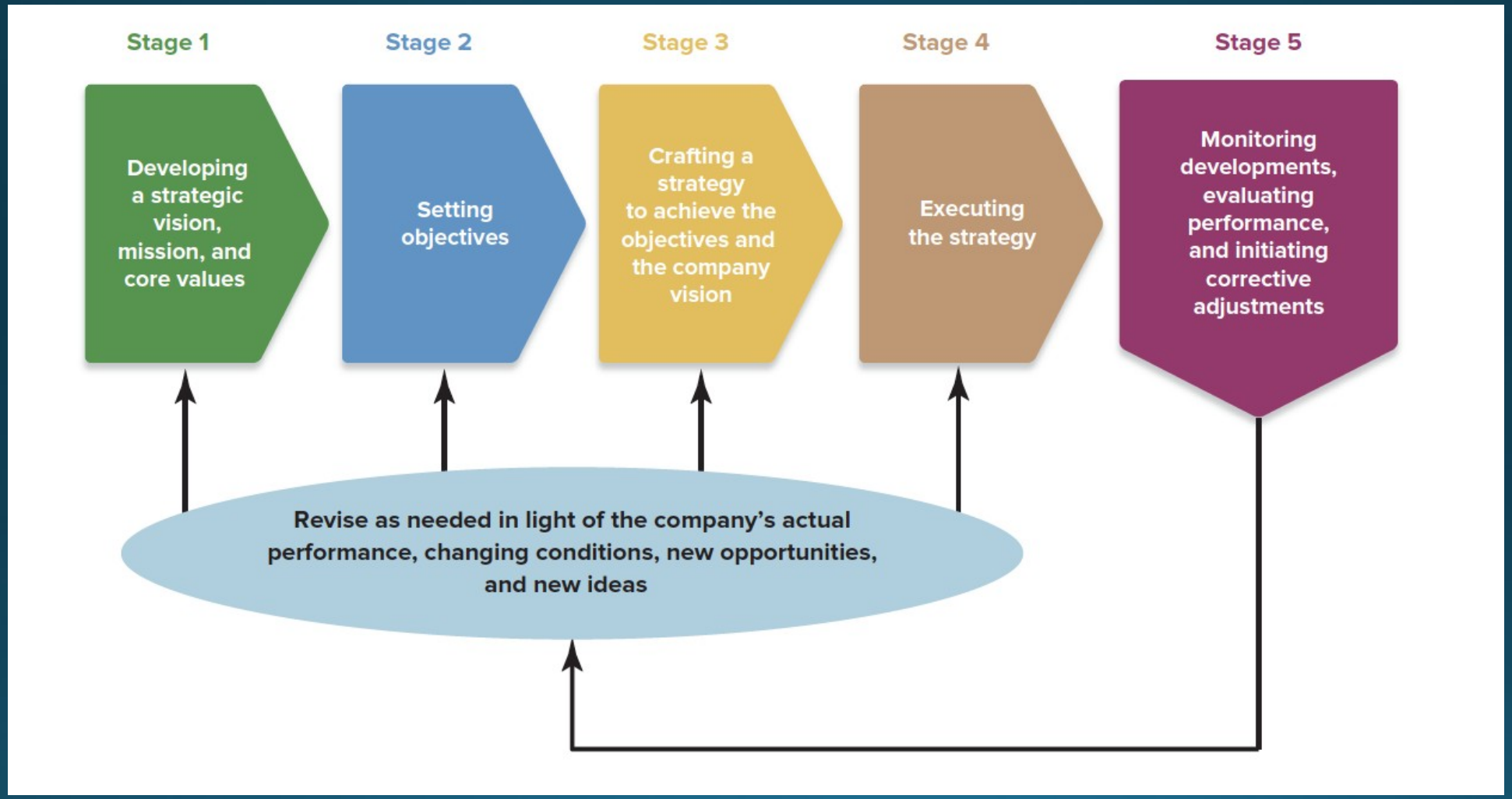
Charting a Company’s Direction

Learning Objectives

- Understand why it is critical for managers to have a clear strategic vision of where the company needs to go.
- Explain the importance of setting both strategic and financial objectives.
- Explain why the strategic initiatives taken at various organisational levels must be tightly coordinated.
- Recognise what a company must do to execute its strategy proficiently.
- Understand the role and responsibility of a company’s board of directors in overseeing the strategic management process.

FIGURE 2.1 The Strategy-Making, Strategy-Executing Process



Strategic Planning Process




VISION &
MISSION
SUCCESS
?%
70%
RISK
PROFIT
Solution
25%
75%
11%
50%
30%

Step 1

Developing a Strategic Vision, Mission Statement, and Set of Core Values

Vision statement

"To be a sustainable, accessible and impactful University campus of choice for students, employers and the community in the region and beyond."

Vision statement



"To be a sustainable, accessible and impactful University campus of choice for students, employers and the community in the region and beyond."

Developing a strategic vision

- Delineates management's future aspirations for the firm to its stakeholders.
- Provides direction—"where we are going."
- Sets out the compelling rationale (strategic soundness) for the firm's direction.
- Uses *distinctive* and *specific* language to set the firm apart from its rivals.

Role of a Strategic Vision

- A well-conceived, well-communicated vision functions as a valuable managerial tool to
  - Give the organisation a sense of direction, mold organisational identity, and create a ***committed*** enterprise
  - Illuminate the company's directional path
  - Provide managers with a reference point to
    - Make strategic decisions
    - Translate the vision into hard-edged objectives and strategies
    - Prepare the company for the future

Wording a Vision Statement—the Dos and Don'ts

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TABLE 2.1 Wording a Vision Statement—the Dos and Don'ts

The Dos	The Don'ts
Be graphic. Paint a clear picture of where the company is headed and the market position(s) the company is striving to stake out.	**Don't be vague or incomplete.** Never skimp on specifics about where the company is headed or how the company intends to prepare for the future.
Be forward-looking and directional. Describe the strategic course that will help the company prepare for the future.	**Don't dwell on the present.** A vision is not about what a company once did or does now; it's about "where we are going."
Keep it focused. Focus on providing managers with guidance in making decisions and allocating resources.	**Don't use overly broad language.** Avoid all-inclusive language that gives the company license to pursue any opportunity.
Have some wiggle room. Language that allows some flexibility allows the directional course to be adjusted as market, customer, and technology circumstances change.	**Don't state the vision in bland or uninspiring terms.** The best vision statements have the power to motivate company personnel and inspire shareholder confidence about the company's future.
Be sure the journey is feasible. The path and direction should be within the realm of what the company can accomplish; over time, a company should be able to demonstrate measurable progress in achieving the vision.	**Don't be generic.** A vision statement that could apply to companies in any of several industries (or to any of several companies in the same industry) is not specific enough to provide any guidance.
Indicate why the directional path makes good business sense. The directional path should be in the long-term interests of stakeholders (especially shareholders, employees, and suppliers).	**Don't rely on superlatives.** Visions that claim the company's strategic course is the "best" or "most successful" usually lack specifics about the path the company is taking to get there.
Make it memorable. To give the organization a sense of direction and purpose, the vision needs to be easily communicated. Ideally, it should be reducible to a few choice lines or a memorable slogan.	**Don't run on and on.** A vision statement that is not short and to the point will tend to lose its audience.

Sources: John P. Kotter, *Leading Change* (Boston: Harvard Business School Press, 1996); Hugh Davidson, *The Committed Enterprise* (Oxford: Butterworth Heinemann, 2002); and Michel Robert, *Strategy Pure and Simple II* (New York: McGraw-Hill, 1992).



The IKEA vision

"To create a better everyday life for the many people." This vision goes beyond home furnishing. We want to have a positive impact on the world – from the communities where we source our raw materials to the way our products help our customers live a more sustainable life at home.

By sharing what we do, and speaking up for what we believe in, we can be part of positive change in society.



Our vision is to give all people access to an anatomically correct footbed..

Communicating the Strategic Vision

- Winning *support* for the vision involves
  - Putting “where we are going and why” in writing
  - Distributing the statement organisation-wide
  - Having executives explain vision to employees
- An ***engaging, inspirational*** vision
  - Challenges and motivates workforce
  - Articulates a compelling case for where company is headed
  - Evokes positive support and excitement
  - Arouses a committed organisational effort to move in a common direction



- This is our company and we operate together against our single vision: to create economic opportunity for every member of the global workforce.

Vision versus Mission

The distinction between a strategic vision and a mission statement is fairly clear-cut:

- **A strategic vision** portrays a firm's aspirations for its future **("where we are going")**

- A firm's **mission** describes its purpose and its present business **("who we are, what we do, and why we are here")**

Mission Statements

Mission statements

“A business is not defined by its name, statutes or articles of incorporation. It is defined by the business mission. Only a clear definition of the mission and purposes of the organisation makes possible clear and realistic business objectives.”

Peter Drucker

- The mission statement is a declaration of an organisations ‘reason for being’.
- Sometimes called a creed statement, a statement of purpose or beliefs or a statement of business principles

Mission statement

DkIT provides quality, accessible and inclusive student-centred practice-based higher education and apprenticeship provision to meet the educational, social, economic and cultural development of the North-East and cross-border region and beyond.

HHN Mission Statement

- https://www.hs-heilbronn.de/en/our-mission-78f8185560ada27a

L'Oreal's Why?

Our goal is to offer each and every person around the world the best of beauty in terms of quality, efficacy, safety, sincerity and responsibility to satisfy all beauty needs and desires in their infinite diversity.



Vision -Together, we create the beauty that moves the world

https://www.loreal.com/en/group/about-loreal/our-purpose/

Who?

We will provide branded products and services of superior quality and value that improve the lives of the world's consumers, now and for generations to come. As a result, consumers will reward us with leadership sales, profit and value creation, allowing our people, our shareholders and the communities in which we live and work to prosper.



Developing a company mission statement

- The Mission Statement:
  - Uses specific language to give the firm its own unique identity.
  - Describes the firm’s current business and purpose - “who we are, what we do, and why we are here.”
  - Should focus on describing the firm’s business, not on “making a profit” - earning a profit is an objective not a mission.

Characteristics of a Mission Statement

Identifies ***boundaries*** of a company's ***current*** business and says something about:

- Present products and services
- Types of customers served
- Geographic coverage

Conveys

- ***Who*** we are,
- ***What*** we do, and
- ***Why*** we are here



OUR MISSION

1990 - “Establish Starbucks as the premier purveyor of the finest coffee in the world.”

2008 - “We inspire and nurture the human spirit - one person, one cup and one neighborhood at a time.”

2025 - To be the premier purveyor of the finest coffee in the world, inspiring and nurturing the human spirit - one person, one cup and one neighborhood at a time

Characteristics of a mission statement (David, 2011)

- Broad in scope – do not include monetary amounts, numbers or percentages
- Less than 250 words in total
- Inspiring
- Identify the utility of a firms products
- Reveal that the firm is socially responsible
- Reveal that the firm is environmentally respons
- Include 9 componen
- Reconciliatory
- Enduring



Guess who?

‘to refresh the world and make a difference’

‘organize the world's information and make it universally accessible and useful’

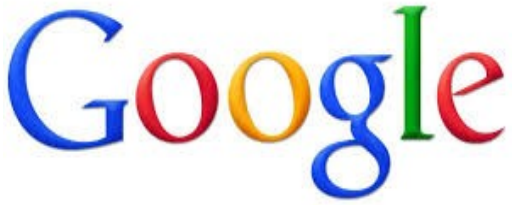
‘Our mission is to give everyone a voice and show them the world.'

to refresh the world and make a difference

organize the world's information and make it universally accessible and useful

Our mission is to give everyone a voice and show them the world.








OUR MISSION:
BRING INSPIRATION
AND INNOVATION
TO EVERY ATHLETE*
IN THE WORLD
*IF YOU HAVE A BODY, YOU ARE AN ATHLETE.

Linking vision and mission with core values

Linking the vision and mission with core values

- Core Values
  - Are the beliefs, traits, and behavioral norms that employees are expected to display in conducting the firm's business and in pursuing its strategic vision and mission.
  - Become an integral part of the firm's culture and what makes it tick when strongly espoused and supported by top management.
  - Matched with the firm's vision, mission, and strategy contribute to the firm's business success.

Values

Our values set out the Institute's ethos, which guides and underpins our strategy. We place students at the centre of our strategy and this is reflected in how we approach and deliver on all that we do.

- Inclusive
- Sustainable
- Collaborative
- Innovative

DUNDALK
INSTITUTE OF TECHNOLOGY
INSTITIÚID TEICNEOLAÍOCHTA
DHÚN DEALGAN

Linking the vision and mission with core valu



OUR VALUES

With our partners, our coffee and our customers at our core, we live these values:

- *Creating a culture of warmth and belonging, where everyone is welcome.*
- *Acting with courage, challenging the status quo and finding new ways to grow our company and each other.*
- *Being present, connecting with transparency, dignity and respect.*
- *Delivering our very best in all we do, holding ourselves accountable for results.*
- *We are performance driven, through the lens of humanity.*

L'Oreal values

At L’Oréal, our six values are at the heart of everything. Passion, Innovation, Entrepreneurial Spirit, Open-mindedness, Quest for Excellence and Responsibility are our guidelines. They are shared by our people everywhere. They shape our mindset. Our priority is to be open to new trends and ideas from around the world, at any time. The most effective way to be a pioneer.

L'Oreal values

Our mission

We fight inequality to end poverty and injustice.

Our values

We commit to living our values so that we can be known for our integrity. This means transforming our governance, management, and operational structures, and nurturing a culture of continuous learning and reflection.

We understand that how we work is as important as what we work on.

Equality

Empowerment

Solidarity

Inclusiveness

Accountability

Courage

Getting to the WHY...

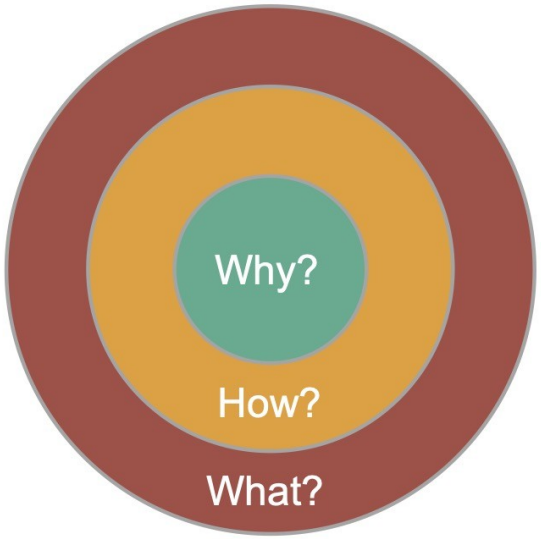
The Golden Circle

Golden Circle

Simon Sinek‘s Golden Circle

The Golden Circle Model

STRATEGYPUNK



Why? = The purpose (The core question)

What is your cause? What is your motivation and believe?

How? = The process

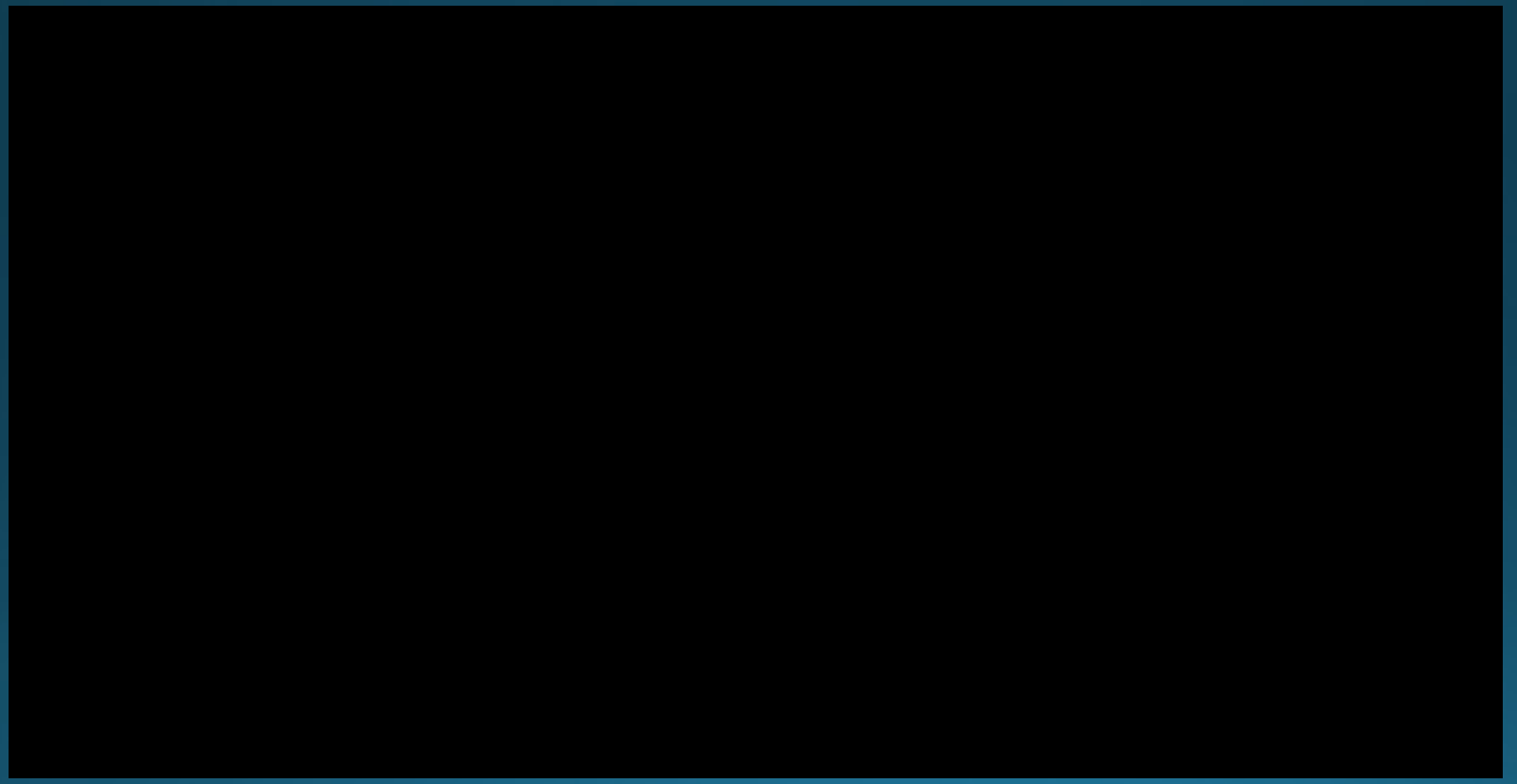
How do you do it? What is your competitive advantage and makes you special

What? = The result

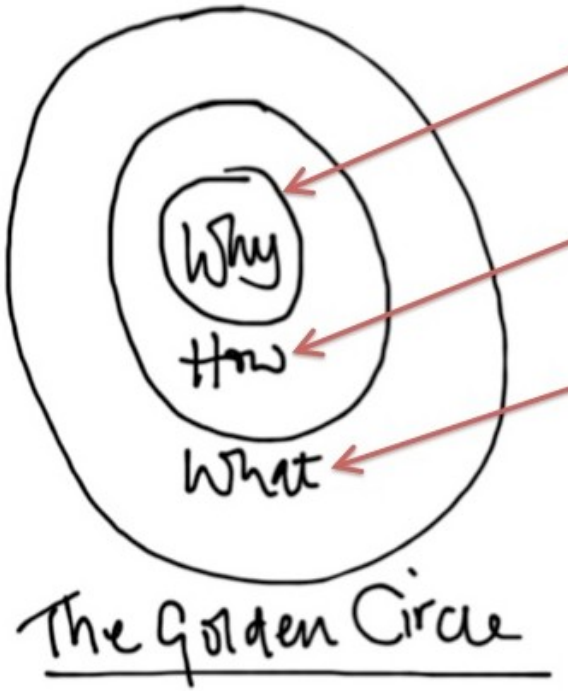
What do you do? The What-Ring represents the products or services a company sells

www.strategypunk.com

Simon Sinek, the Golden Circle



Google



To organize the world's information and make it universally accessible

creating algorithms

web services, apps, operating system for computers & smartphones